

The counting we do in the investment field is also badly flawed. The notion that common stocks are acceptable as investments—rather than merely speculative instruments—can be said to have begun in 1925 with Edgar Lawrence Smith's *Common Stocks as Long-Term Investments*. Its most recent incarnation came in 1994, in Jeremy Siegel's *Stocks for the Long Run*. Both books unabashedly state the case for equities and, arguably, both helped fuel the great bull markets that ensued. Both, of course, were then followed, perhaps inevitably, by two of the worst bear markets of the past 100 years.

Both books, too, were replete with data, but the seemingly infinite data presented in the Siegel tome, a product of this age of computer-driven numeracy, puts its predecessor to shame. Siegel clearly established that, over two centuries of history, the real return on U.S. stocks has centered around 7 percent per year (about 10 percent in nominal terms, before the erosion of inflation, which has averaged about 3 percent).

But it's not the panoply of information imparted in *Stocks for the Long Run* that troubles me. Who can be against knowledge? As Sir Francis Bacon reminded us, "Knowledge is power." My concern is that too many of us make the implicit assumption that stock market history repeats itself when we know, deep down, that the only valid prism through which to view the market's future is the one that takes into account not *history*, but the *sources* of stock returns, discussed in Chapter 2.

The Experts Are Wrong . . . Again

That experts are so often wrong seems such a self-evident truth that you might well wonder who exactly would be so foolish as to project future returns at past historical rates. Yet the woods are full of expert investor advisers and analysts who do exactly that. Look at the modish popularity of so-called Monte Carlo simulations. The problem with these simulations—essentially calculating the monthly returns on stocks, tossing them into a blender, and casting the seemingly infinite series of permutations and combinations in the form of